



Asia
China

Energy
Alternative Energy

Industry

China Solar Sector

Date
8 October 2026

Industry Update

Improving supply discipline supports market rebalancing

Improving supply discipline in polysilicon

According to SMM, the industry's planned polysilicon production is expected to decline 20% MoM to 95.6kt in October, driven by ongoing discussions among producers on synchronized production cuts. We believe the industry's objective is likely to fully absorb excess inventories, currently around 0.3mn tonnes at polysilicon producers, by end-2027. To achieve this, we estimate total industry output may need to be capped at around 1.2mn tonnes or lower through late 2027, implying an average industry utilization rate of approximately 30%.

As a result, we expect monthly polysilicon output to decline further in the coming months, driven by coordinated production cuts and higher electricity costs in hydropower-rich regions. In our view, this should support an improvement in polysilicon pricing sentiment, suggesting that the industry may have moved beyond its most challenging period. On the demand side, October module production plans suggest a modest 4% MoM increase, supported by utility-scale project procurement in China and a pick-up in purchasing activity from Europe following the summer lull. We expect near-term polysilicon prices to remain supported above Rmb40/kg, more than 30% above the July trough. A further improvement in pricing could allow low-cost producers such as **GCL Tech (3800.HK)** to reach breakeven, marking an important step toward industry recovery.

Satellite launches accelerate in September

Following a trough in August, when 30 satellites were launched and one launch failed, China's satellite launch activity picked up notably in September, with 61 satellites successfully deployed. Based on our calculations, the total number of satellites launched YTD reached 397, representing a 49% YoY increase. Among the stocks under our coverage, **Drinda (2865.HK)**, through its satellite subsidiaries Xuntian Qianhe, saw one satellite successfully deployed into orbit in September, bringing its YTD satellite launches to seven. The stock has corrected significantly since 2H26, falling 48% and underperforming the HSCEI by 38%, which we believe was likely due to lacklustre solar product pricing and softer sentiment toward the commercial space sector. The WIND Commercial Space Theme Index declined 25% over the same period. Trading at 0.9x P/B and a 73% discount to its A-share,

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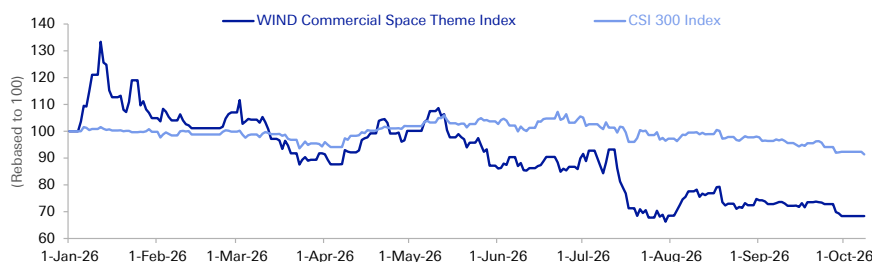
Deutsche Bank AG/Hong Kong

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we believe the stock warrants a revisit given its exposure to growing space solar business, which could contribute 55-69% of total profits in FY27-28E based on our estimates.

Figure 1: WIND Commercial Space Theme Index vs. CSI300



Source : WIND, Bloomberg Finance LP

Figure 2: China monthly satellite launches and Drinda's satellite deployments

	Monthly		YTD		Launch failures	Drinda's satellites	
	No. of launches	No. satellites launched	No. satellites launched	YoY		No. satellites launched	Satellite name(s)
Jan-26	8	32	32	-16%	2		
Feb-26	2	8	40	-20%			
Mar-26	8	36	76	-13%			
Apr-26	8	74	150	35%	1		
May-26	8	48	198	36%		1	"Youxi" Satellite
Jun-26	10	68	266	74%			
Jul-26	8	40	306	79%		3	Yunjian Muxi, AVIC Infrared-1, Yinglong-1
Aug-26	7	30	336	51%	1	2	XS-01, Jing'an Dream
Sep-26	11	61	397	49%		1	Super Intelligent Computing-1

Source : Sina, Xinhua, China National Space Administration, FuturePhedca, Deutsche Bank Research

Figure 3: China Solar Sector - valuation comparison

Company	BBG ticker	Market Cap (USD MN)	Rating	TP (LC)	Price (LC)	U/D	P/E (x)			P/B (x)			ROE (%)			Div yield (%)			EPS CAGR
							2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026-28E
Solar manufacturers																			
GCL Tech	3800 HK	2,951	Buy	1.10	0.72	54%	n.m.	22.6	7.6	0.5	0.5	0.4	-6.1	2.1	5.8	0.0	0.0	0.0	n.a.
Xinyi Solar	968 HK	2,182	Buy	3.60	1.92	88%	74.9	12.3	7.5	0.5	0.5	0.5	0.7	4.0	6.4	0.8	4.6	7.6	216%
LONGi	601012 CH	12,517	Buy	20.00	11.21	78%	n.m.	148.8	35.6	1.7	1.7	1.7	-11.0	1.2	4.8	0.0	0.1	0.4	n.a.
Drinda	2865 HK	1,337	Buy	33.00	11.20	195%	n.m.	6.8	3.8	0.9	0.8	0.7	-15.3	12.9	19.6	0.0	0.0	0.0	n.a.
Tongwei	600438 CH	7,684	Sell	8.50	11.52	-26%	n.m.	n.m.	180.4	1.7	2.0	2.0	-26.0	-14.7	1.1	0.0	0.0	0.0	n.a.

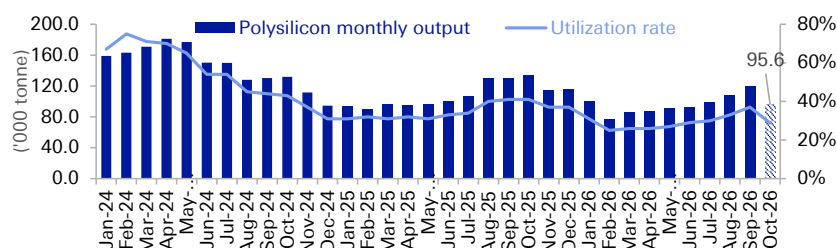
Source : Bloomberg Finance LP, Deutsche Bank estimates (prices as of 07 October, 2026)

Previous editions of **DB China Solar Monthly S-D Monitor**: [January 2026](#), [February 2026](#), [March 2026](#), [April 2026](#), [May 2026](#), [June 2026](#), [July 2026](#), [August 2026](#), [September 2026](#)

Polysilicon: Lower output in October amid supply discipline

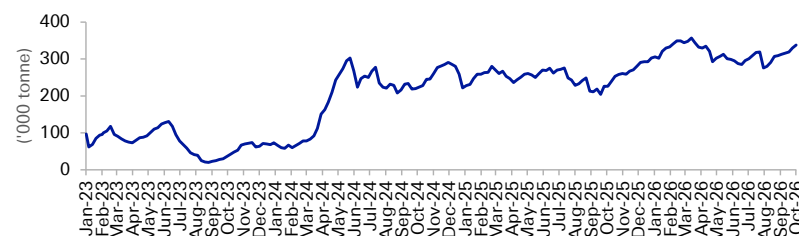
- Monthly output:** According to SMM, planned polysilicon output is expected to decrease 20% MoM to 96kt in October 2026, primarily reflecting production curtailments following recent industry coordination meetings and the onset of the dry season, with output reductions concentrated in Southwest China and a few other regions. SMM estimates industry utilization to fall to c.29% in October, down c.8ppts MoM. Looking into 4Q26, we believe further polysilicon production cuts are likely.
- Inventory:** Producer inventories increased 8% MoM to 338kt as of early October 2026, amid subdued trading activity. However, total inventories across the polysilicon and wafer segments declined 3% MoM to 564kt, primarily reflecting a 16% MoM reduction in wafer producer inventories.

Figure 4: Polysilicon industry monthly output and average capacity utilization rate



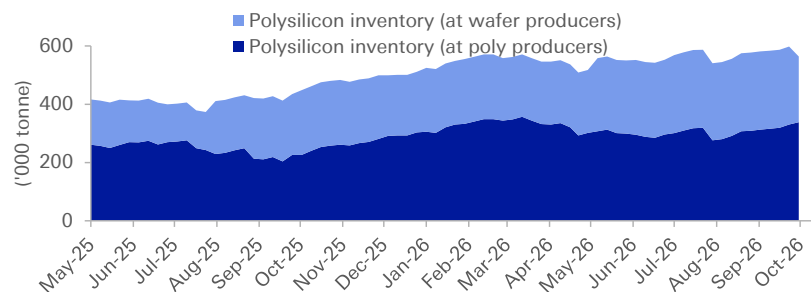
Source : SMM

Figure 5: Polysilicon industry inventory (at polysilicon producers)



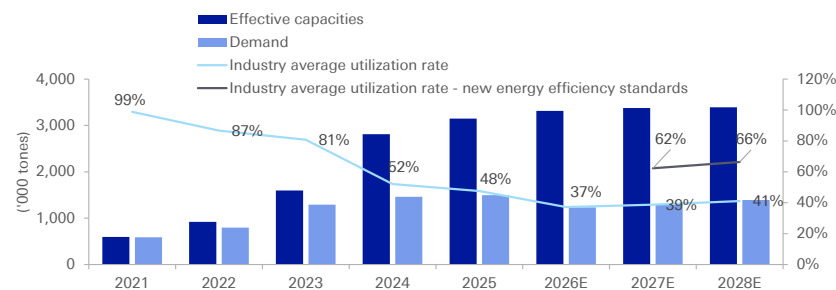
Source : SMM

Figure 6: Polysilicon industry total inventory (at both polysilicon producers and wafer companies)



Source : SMM

Figure 7: Polysilicon supply-demand analysis (DBe)



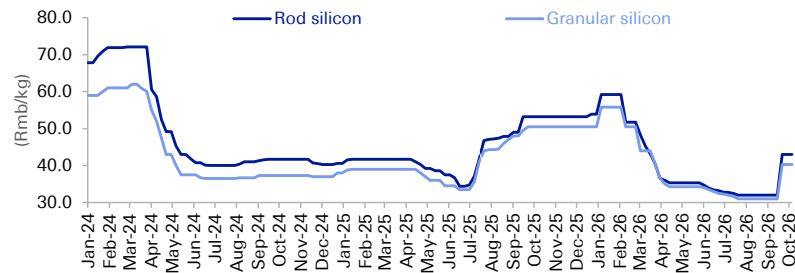
Source : Company data, Deutsche Bank estimates



Polysilicon: Prices recovered in September

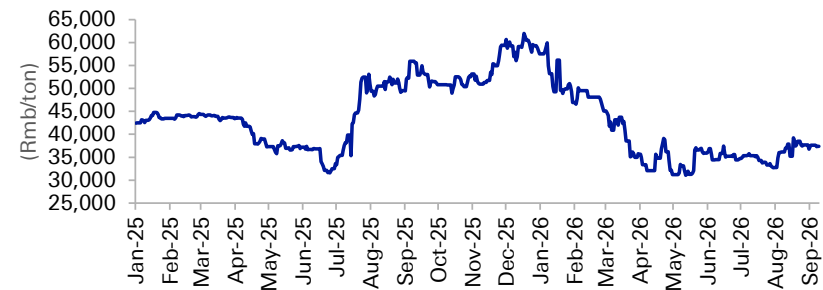
- **Pricing and margin outlook:** The latest quotes stand at RMB43.0/kg for rod silicon and RMB40.3/kg for granular silicon, implying increases of 34% and 30%, respectively, from the recent trough in late July. Overall inventory levels remain elevated at more than five months of demand, and further inventory destocking is likely required before polysilicon prices can recover further, in our view.

Figure 8: Polysilicon spot prices



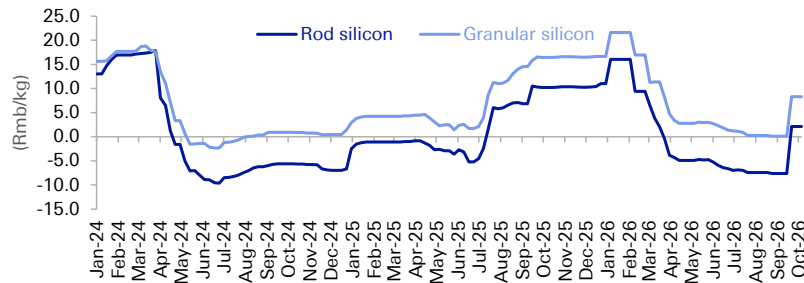
Source : China Silicon Association, PV InfoLink

Figure 9: Polysilicon futures price



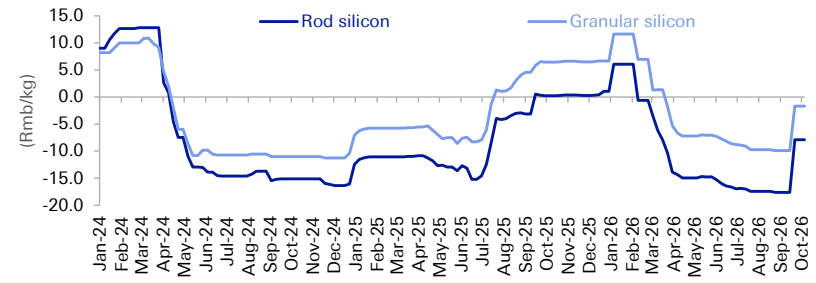
Source : Guangzhou Futures Exchange, WIND

Figure 10: Polysilicon unit all-in cash profit tracker



Source : Deutsche Bank estimates

Figure 11: Polysilicon unit net profit tracker



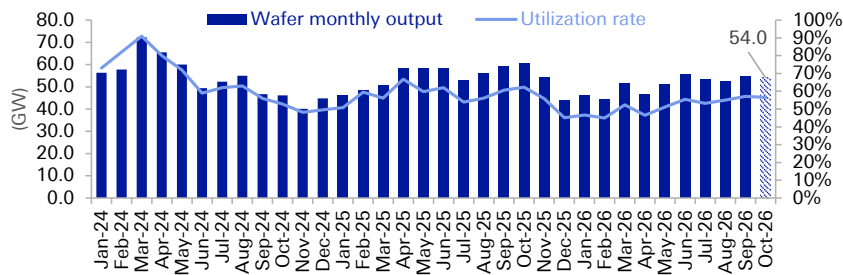
Source : Deutsche Bank estimates



Wafer: Largely stable output

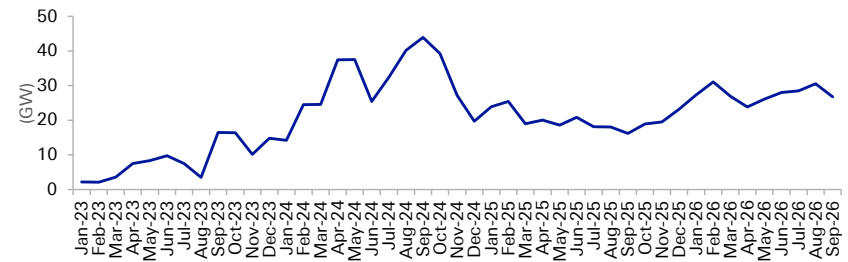
- **Monthly output:** According to SMM, the industry's planned wafer output is expected to drop 1% MoM to 54GW in October 2026. The industry's average capacity utilization is approximately 57%, according to our calculations.
- **Monthly inventory:** Wafer inventory decreased by 12% MoM to 26.8GW as of end-September 2026, from 30.5GW at end-August.

Figure 12: Wafer monthly output and industry average capacity utilization rate



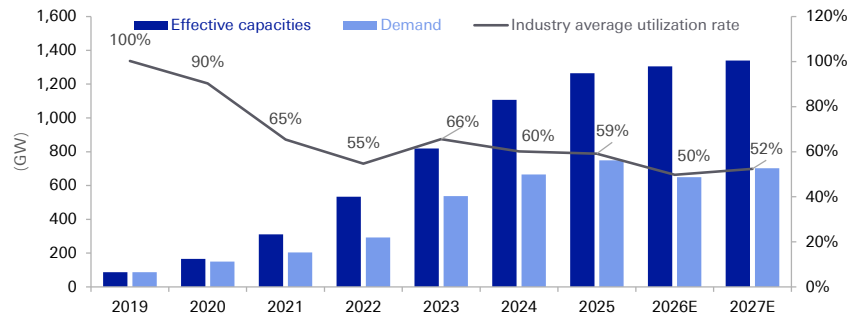
Source : SMM

Figure 13: Wafer monthly inventory



Source : SMM

Figure 14: Wafer annual supply-demand analysis (DBe)



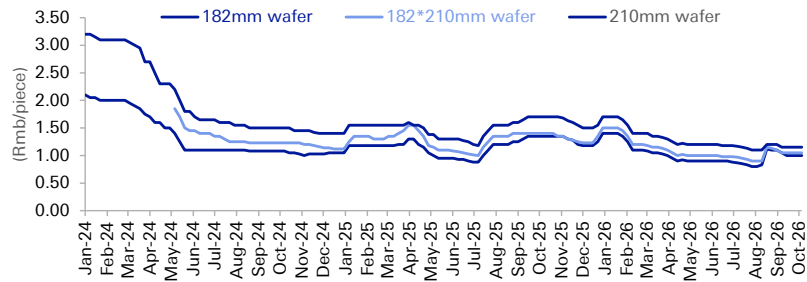
Source : Company data, Deutsche Bank estimates



Wafer: Cash margins hover around breakeven

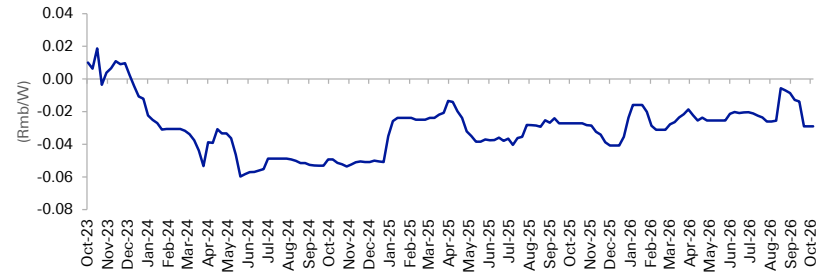
- **Pricing and margin outlook:** Wafer prices fell 0-5% MTD as of early October, following a 4-11% decrease recorded in mid-September. We estimate that unit cash margins hovered around cash breakeven levels following the recent price correction.

Figure 15: Wafer spot prices



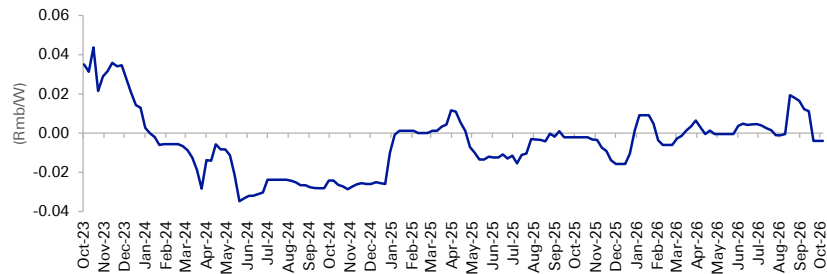
Source : PV InfoLink

Figure 16: Wafer unit net profit tracker



Source : Deutsche Bank estimates

Figure 17: Wafer unit all-in cash profit tracker



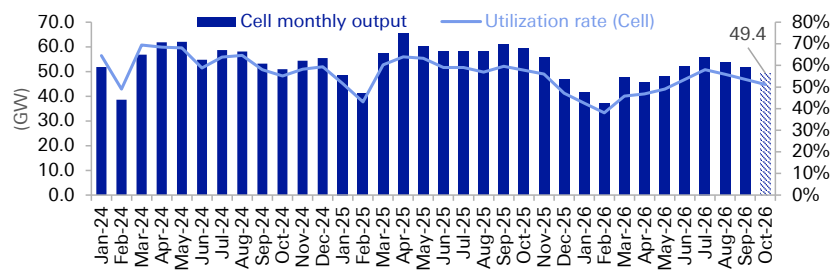
Source : Deutsche Bank estimates



Cell: slight output decline

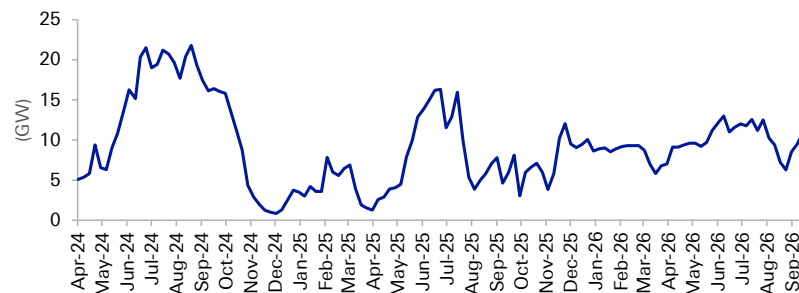
- **Monthly output:** According to SMM, planned cell production is expected to decline 4% MoM to 49.4GW in October, primarily due to capacity maintenance during the National Day holiday, while some manufacturers continue to upgrade and retrofit production lines. Based on our calculations, TOPCon cell utilization may reach ~51% in October.
- **Inventory:** According to SMM, cell inventories drop to 8.5GW in late September (down from c.9.5GW in early September 2026), driven by pre-holiday stocking and resilient overseas demand.

Figure 18: Cell monthly output and industry average capacity utilization rate



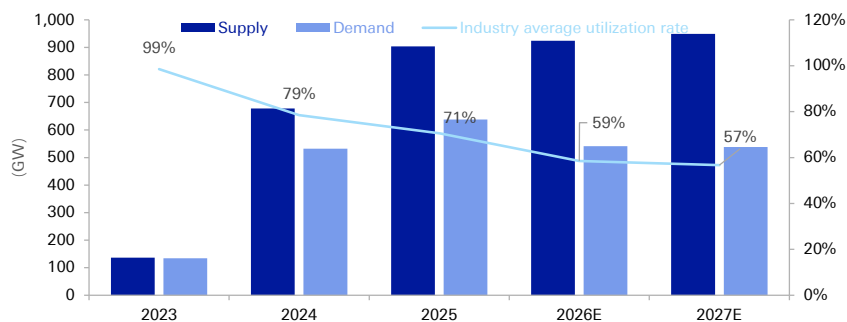
Source : SMM

Figure 19: Cell weekly industry inventory



Source : SMM

Figure 20: TOPCon cell annual supply-demand analysis (DBe)



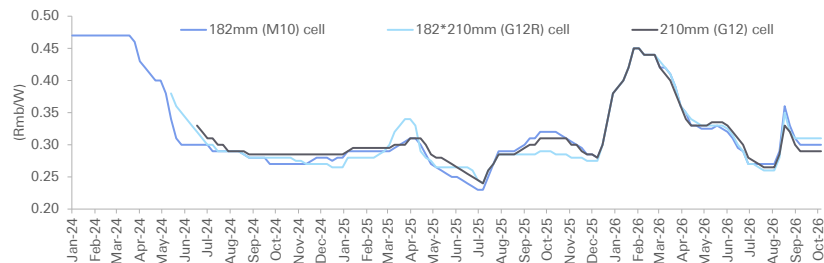
Source : Company data, Deutsche Bank estimates



Cell: cash margins near breakeven

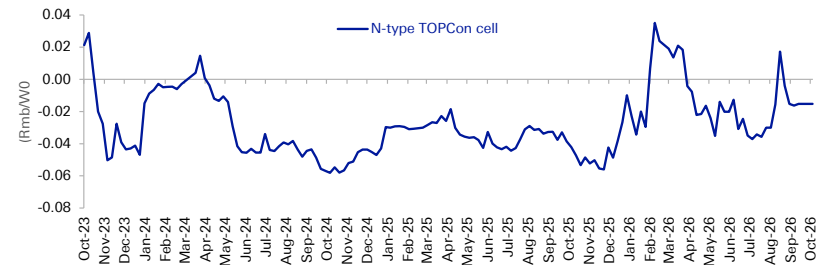
- **Pricing and margin outlook:** Cell prices were broadly stable as of early October, with 183, 210R and 210N cells quoted at Rmb0.293-0.301/W, Rmb0.305-0.314/W and Rmb0.29-0.296/W, respectively, according to SMM. Based on our estimates, cell producers' net margins remained marginally negative in early October, while cash margins stayed positive.

Figure 21: Cell spot prices



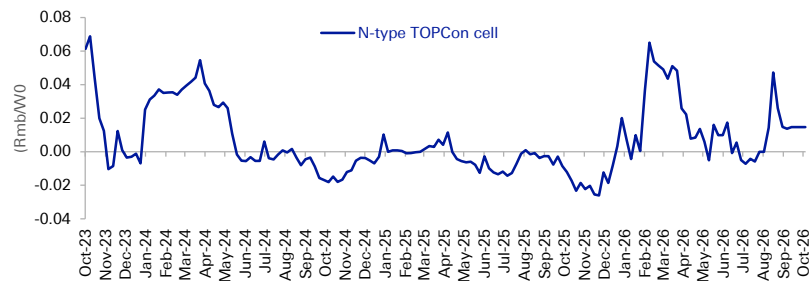
Source : PV InfoLink

Figure 22: Cell unit net profit trackers



Source : Deutsche Bank estimates

Figure 23: Cell unit all-in cash profit tracker



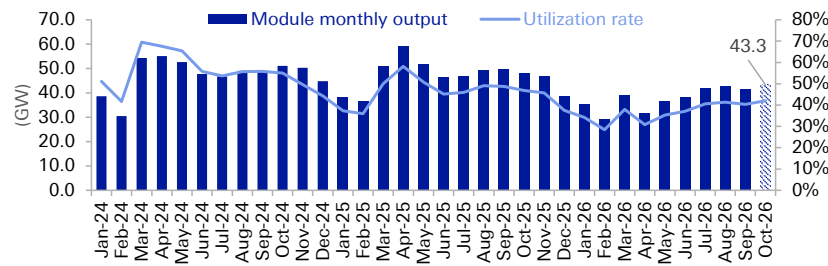
Source : Deutsche Bank estimates



Module: demand improves marginally

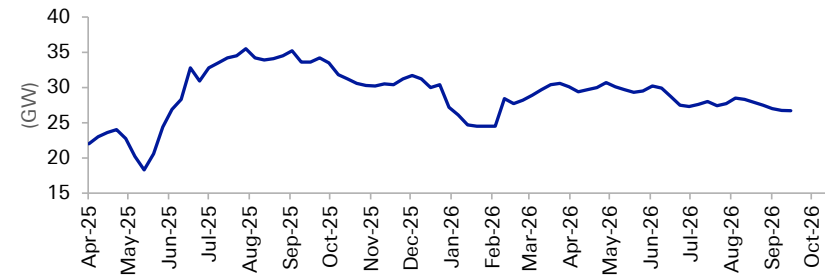
- **Monthly output:** According to SMM, the industry's planned module production output for October is 43.3GW, representing a 4% MoM increase. The industry's average capacity utilization is approximately 42%, according to our calculation.
- **Inventory:** Domestic module inventory was 26.7GW as of early October, broadly stable from 27.9GW in late August, according to SMM.

Figure 24: Module monthly output and industry average capacity utilization rate



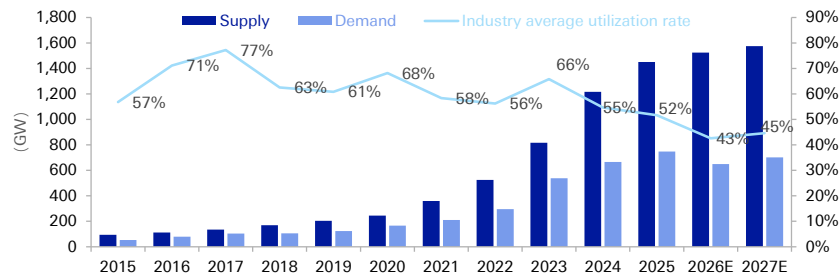
Source : SMM

Figure 25: China weekly module inventory



Source : SMM

Figure 26: Module annual supply-demand analysis (DBe)



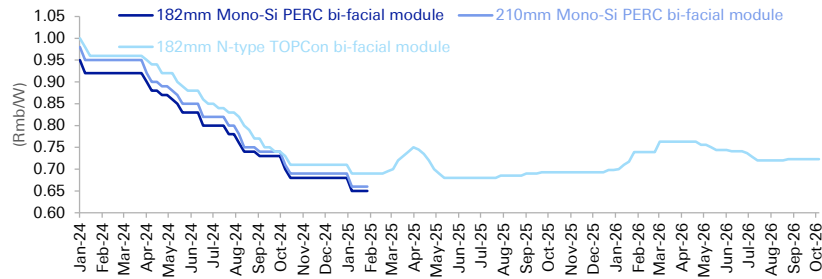
Source : Company data, Deutsche Bank estimates



Module: stable price outlook

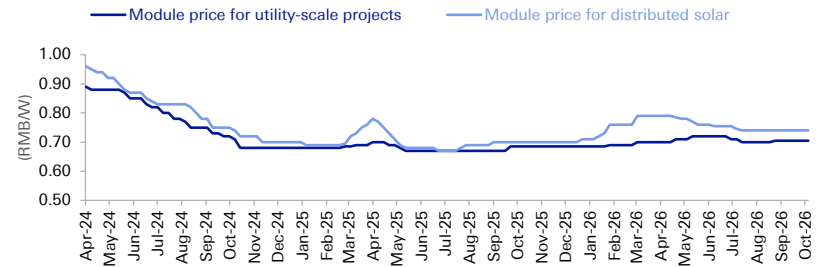
- **Pricing and margin outlook:** As of early October, module prices remained stable, reflecting still-muted solar demand. Based on our estimations, the module segment remains profitable, albeit with thin margins, which are primarily driven by the previous price correction in upstream costs. Looking ahead, we believe module prices are likely to stabilize around current levels, with potential upside depending on policy execution.

Figure 27: Module spot prices



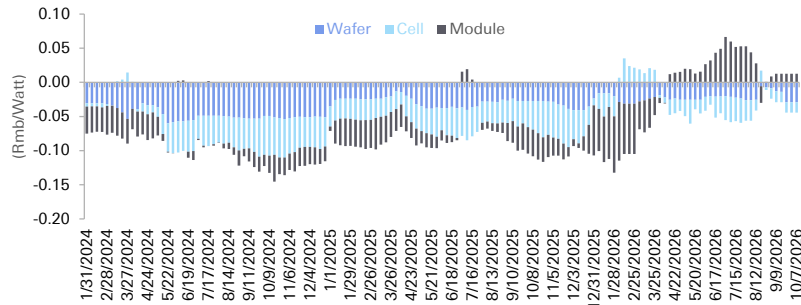
Source : PV InfoLink

Figure 28: Module prices for utility-scale and distributed solar



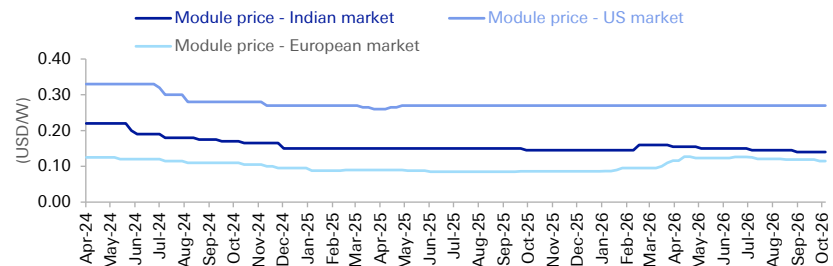
Source : PV InfoLink

Figure 29: Unit net profit/loss for integrated module



Source : PV InfoLink, Deutsche Bank estimates

Figure 30: Overseas module spot prices



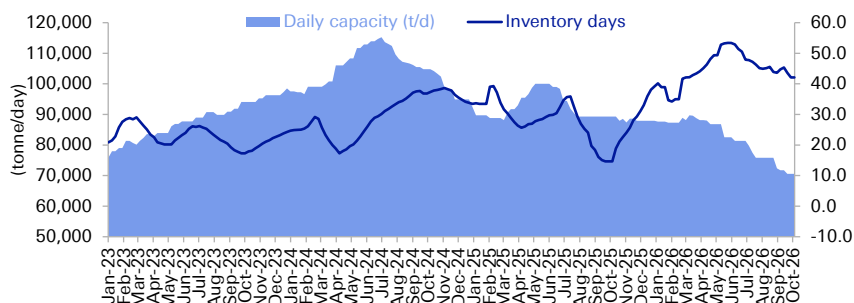
Source : PV InfoLink



Solar glass: destocking progressing well

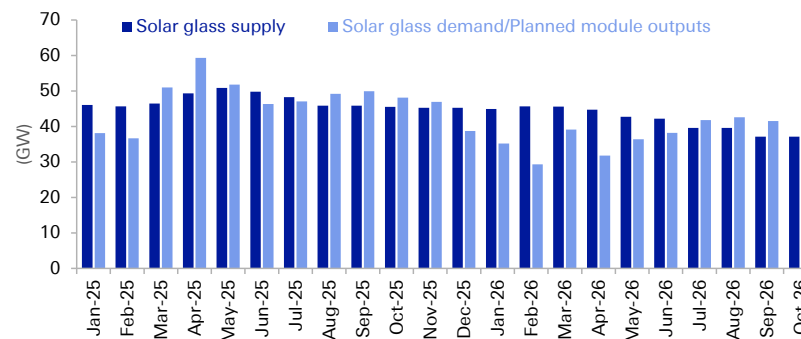
- Weekly capacity:** According to SCI99, solar glass operating capacity stood at 70.6kt/day as of early October, down 3% MoM and 21% below the March 2026 peak. Following notable production suspensions in July 2026, another round of cuts occurred in late August through September, with an additional 5.3kt/day taken offline. Total capacity under maintenance or idled reached 81.5kt/day, equivalent to 54% of domestic capacity.
- Inventory:** Solar glass inventories peaked at 53 days in late May and have since declined to 42 days as of early October, down 3% MoM. While still well above the historical norm of 2-3 weeks, the inventory drawdown bodes well for further price recovery, in our view.

Figure 31: Solar glass - industry operating capacity and inventory days



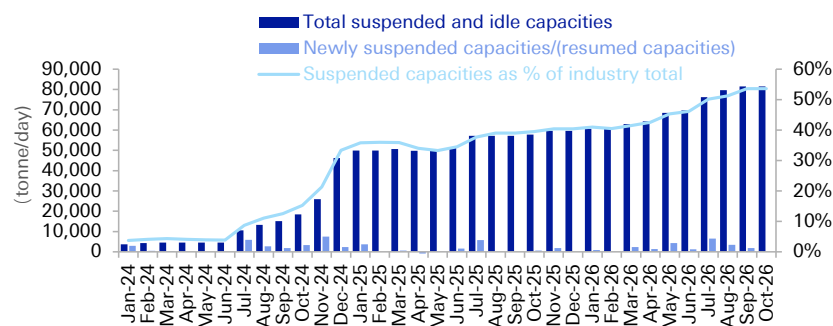
Source : SCI99

Figure 32: Solar glass - monthly supply-demand analysis (DBe)



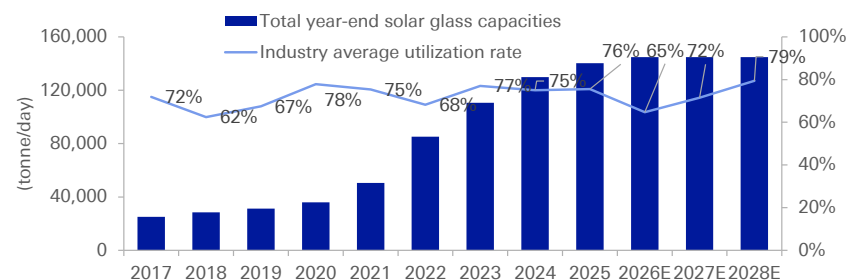
Source : SCI99, Deutsche Bank estimates

Figure 33: Solar glass - capacities suspended for maintenance



Source : SCI99

Figure 34: Solar glass - annual capacities and utilization trend



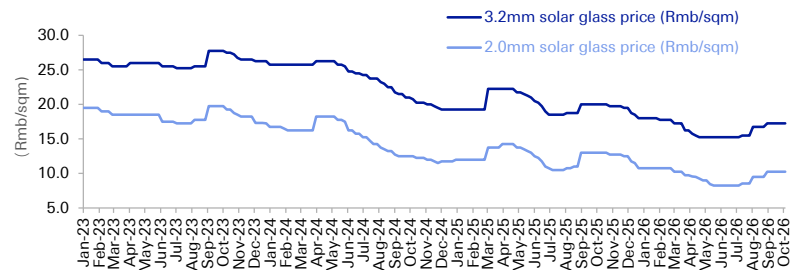
Source : SCI99, Deutsche Bank estimates



Solar glass: steady price recovery trend

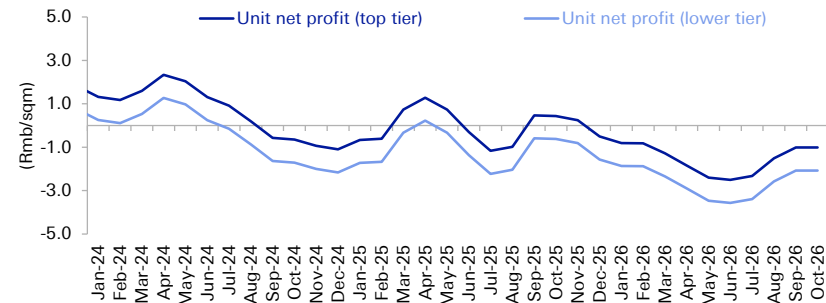
- **Pricing and margin outlook:** Solar glass prices were broadly stable MoM in early October for both 2.0mm and 3.2mm products, following an 11-20% rebound from mid-July levels. The rebound marked the first meaningful price recovery after a sustained downtrend since October 2025. Going forward, we expect the pricing environment to remain constructive, with potential for further marginal gains driven by supply discipline.

Figure 35: Solar glass spot prices



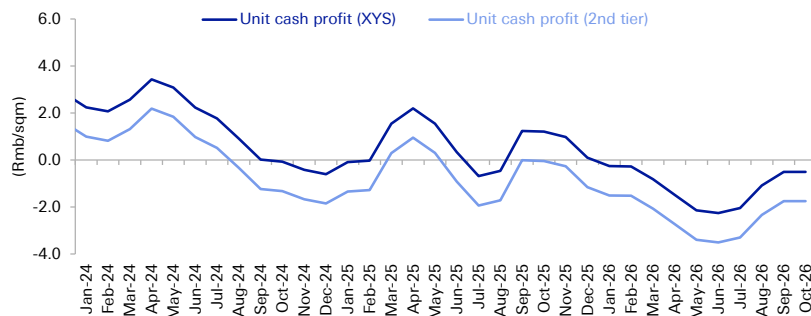
Source : SCI99

Figure 36: Solar glass unit net profit tracker



Source : SCI99, Deutsche Bank estimates

Figure 37: Solar glass unit all-in cash profit tracker



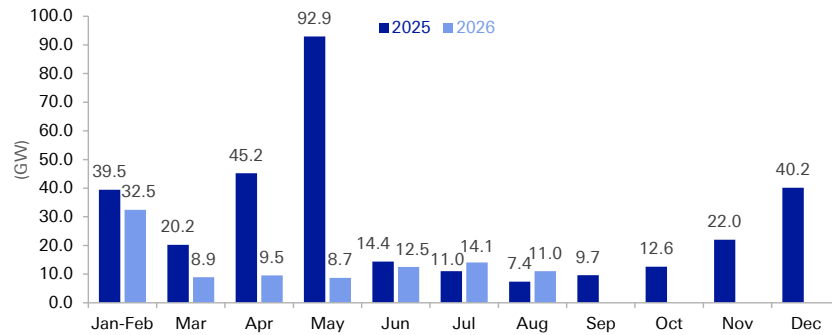
Source : SCI99, Deutsche Bank estimates



Solar demand remains muted sequentially

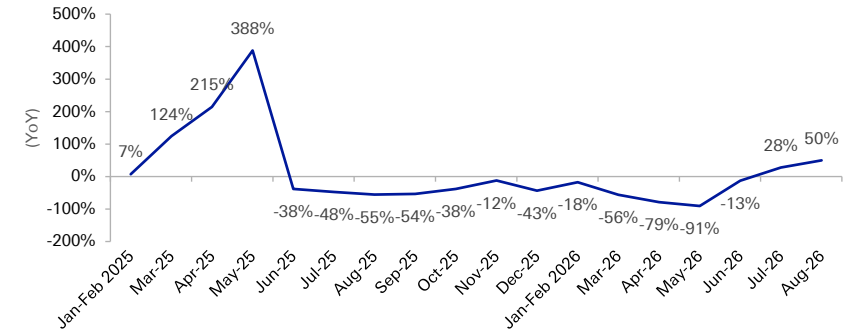
- Ahead of the September 2026 data release, China's YTD solar additions reached 97GW as of 8M26. August installations came in at 11GW, up 50% YoY from the low base of 7.4GW in August 2025, though the sequential print was weak, down 22% MoM.

Figure 38: China monthly solar installations



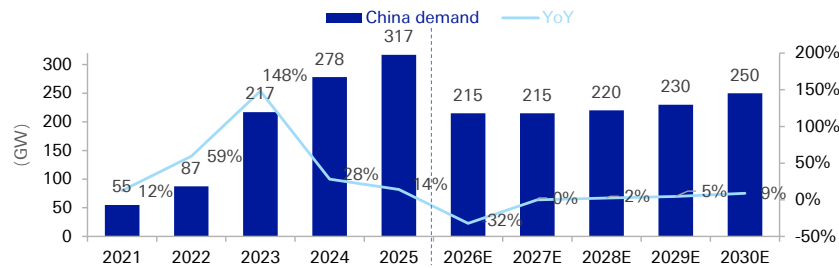
Source : National Energy Administration

Figure 39: China monthly solar installations (YoY)



Source : National Energy Administration

Figure 40: DB China annual solar demand forecasts



Source : National Energy Administration, Deutsche Bank estimates



Valuation

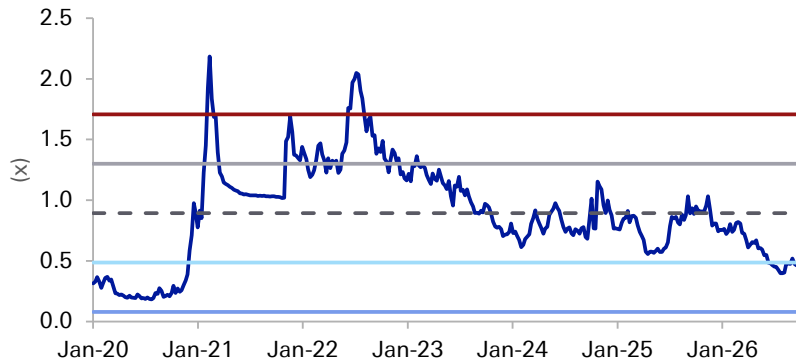
- **GCL Technology (3800.HK)** and **Drinda (2865.HK)** are our preferred solar stocks in the near term, given their attractive valuations (0.5-0.9x P/B) and new growth drivers from cathode materials and space solar, respectively.

Figure 41: China Solar Sector - valuation comparison

Company	BBG ticker	Market Cap (USD MN)	Rating	TP Price			P/E (x)			P/B (x)			ROE (%)			Div yield (%)			EPS CAGR
				(LC)	(LC)	U/D	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026-28E
Solar manufacturers																			
GCL Tech	3800 HK	2,951	Buy	1.10	0.72	54%	n.m.	22.6	7.6	0.5	0.5	0.4	-6.1	2.1	5.8	0.0	0.0	0.0	n.a.
Xinyi Solar	968 HK	2,182	Buy	3.60	1.92	88%	74.9	12.3	7.5	0.5	0.5	0.5	0.7	4.0	6.4	0.8	4.6	7.6	216%
LONGi	601012 CH	12,517	Buy	20.00	11.21	78%	n.m.	148.8	35.6	1.7	1.7	1.7	-11.0	1.2	4.8	0.0	0.1	0.4	n.a.
Drinda	2865 HK	1,337	Buy	33.00	11.20	195%	n.m.	6.8	3.8	0.9	0.8	0.7	-15.3	12.9	19.6	0.0	0.0	0.0	n.a.
Tongwei	600438 CH	7,684	Sell	8.50	11.52	-26%	n.m.	n.m.	180.4	1.7	2.0	2.0	-26.0	-14.7	1.1	0.0	0.0	0.0	n.a.

Source : Bloomberg Finance LP, Deutsche Bank estimates (prices as of 07 October, 2026)

Figure 42: GCL Technology – one-year forward P/B bands



Source : Company data, Deutsche Bank estimates

Figure 43: Xinyi Solar – one-year forward P/B bands



Source : Company data, Deutsche Bank estimates



Figure 44: LONGi – one-year forward P/B bands



Source : Company data, Deutsche Bank estimates

Figure 45: Tongwei – one-year forward P/B bands



Source : Company data, Deutsche Bank estimates





Appendix 1

Important Disclosures

*Other information available upon request

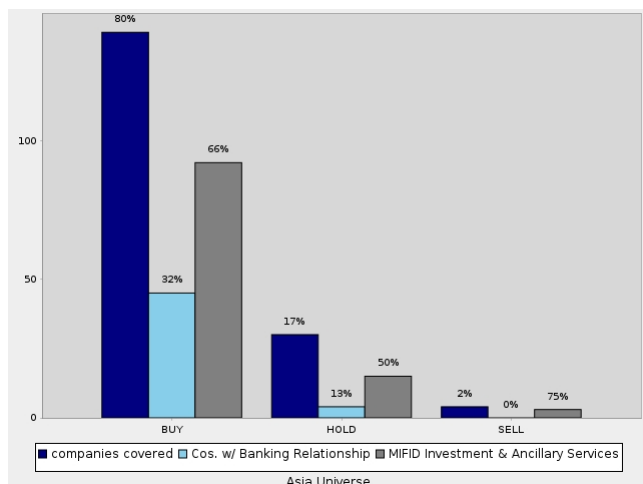
*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

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Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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